



समन्वित जयते

NITI Aayog

DRAFT



SECTOR AT A GLANCE

# MSMEs in India

An overview

2023-MSME-SAG-01

DRAFT

Sector at a Glance

# Overview of MSMEs in India

The '**Sector-at-a-Glance**' provides an easy-to-read overview and basic understanding of a sector, sub-sector, or thematic area. The facts and insights on the sector are supported by relevant data and best practices from credible government and multilateral sources. The document covers the structure, key trends, opportunities and challenges, government initiatives, and the way forward for the sector

### **Suggested Citation:**

NITI Aayog (2023). Overview of MSMEs in India. NITI Aayog <Sector-at-a-Glance> Series – MSME in India, 2023-MSME-SAG-01, <link>

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# Overview

Small and medium enterprises (SMEs) play a major role in most economies<sup>1</sup>, and particularly in developing countries. According to the World Bank, SMEs make up ~90% of businesses and generate over 50% of employment opportunities globally. In emerging economies, SMEs contribute up to 40% of gross domestic product (GDP). As per the micro, small, and medium enterprises (MSMEs) annual report 2023, MSMEs contribute to almost 30% of India's GDP and provide employment for approximately 11 crore individuals.

MSMEs in India face challenges, including limited access to formal financial services, technological barriers, and a lack of market access. Additionally, a shortage of skilled workers persists, exacerbated by a lack of awareness about government skill development programs. The Young India and Work study<sup>1</sup> revealed that 70% of youth are unaware of local government initiatives. MSMEs also encounter challenges when scaling up, dealing with limited access to high-quality raw materials and constrained markets for finished products. These challenges are more pronounced for microenterprises, which constitute more than 97% of the MSME universe yet account for only 25-30% in credit-wise distribution for MSMEs.

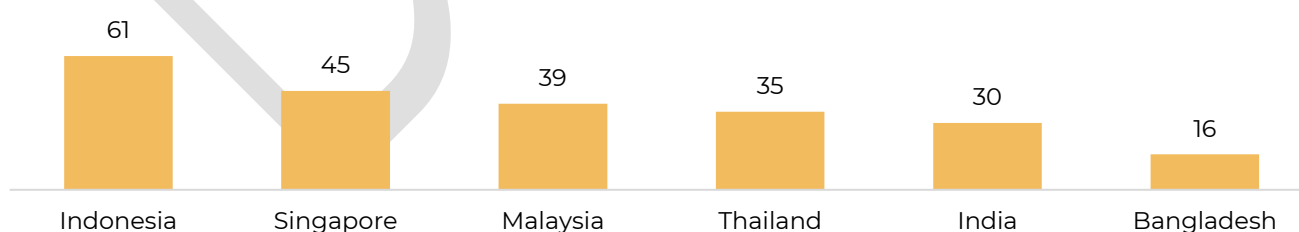
Despite challenges, Indian MSMEs can seize opportunities by participating in Global Value Chains (GVCs)<sup>2</sup>. Embracing the 'China +1' strategy, engaging in the Production-Linked Incentive (PLI) scheme, and leveraging Free Trade Agreements present avenues to enhance competitiveness and access new markets.

The government has significantly increased allocations to the Ministry of MSME, with an eightfold rise from fiscal 2016 to fiscal 2024. These budgetary enhancements primarily target credit support. Key government initiatives and schemes include the Credit Guarantee Fund Scheme for Micro and Small Enterprises (CGTMSE) and the Pradhan Mantri Mudra Yojana.

Meanwhile, there is a growing emphasis on empowering MSMEs through strategies such as improving cash flow lending, establishing technology centres, fostering collaboration across departments, creating sector-specific ease-of-business frameworks, promoting cluster models and leveraging digital solutions to fuel growth in India's MSME.

Note: Role of SMEs in most economies<sup>3</sup>

**Figure 1: Country-wise (%) contribution of MSMEs to GDP**



Source: Asian Development Bank, 2022<sup>4</sup>

Note: The data is from 2020, representing the most recent available information

<sup>1</sup> World Economic Forum. (2018). Young India and Work, A Survey of Youth Aspirations

<sup>2</sup> Department of Commerce, 2022, Integrating Indian MSMEs into Global Value Chains

<sup>3</sup> The World Bank, 2019, Role of SME in economies

<sup>4</sup> Asian Development Bank, 2022, SME Enterprises in Asia and The Pacific

India's MSME sector, while substantial, contributes a relatively lower percentage to the country's GDP compared with some Asian counterparts. However, direct comparison may not be fair, since the definition of MSMEs varies across countries, depending on their respective regulations and criteria.

**Figure 2: Classification of MSMEs varies across Asian countries**

| Parameter                     | Investment                                                                                                                                                                                                     | Turnover                                                                                                                                                                   |
|-------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>India</b>                  | Micro: Up to INR 1 crore (approx. USD 134,000); Small: Up to INR 10 crore (approx. USD 1.34 million); Medium: Up to INR 50 crore (approx. USD 6.7 million)                                                     | Up to INR 5 Crore (approx. USD 670,000) for micro, up to INR 50 crore (approx. USD 6.7 million) for small, up to INR 250 crore (approx. USD 33.5 million) for medium       |
| <b>Bangladesh<sup>5</sup></b> | In manufacturing, firms with fixed assets below Tk 300 million (approx. USD 3.5 million); in services and trade, businesses with fixed assets below Tk 150 million (approx. USD 1.76 million) qualify as MSMEs |                                                                                                                                                                            |
| <b>Malaysia<sup>6</sup></b>   |                                                                                                                                                                                                                | Up to 500,000 MYR (approx. USD 120,000) for micro, up to 15 million MYR (approx. USD 3.6 million) for small, up to 50 million MYR (approx. USD 12 million) for medium      |
| <b>Indonesia<sup>7</sup></b>  | Up to 5 billion IDR (approx. USD 349,000) for micro, up to 50 billion IDR (approx. USD 3.5 million) for small, up to 100 billion IDR (approx. USD 6.98 million) for medium                                     | Up to 5 billion IDR (approx. USD 349,000) for micro, up to 50 billion IDR (approx. USD 3.5 million) for small, up to 100 billion IDR (approx. USD 6.98 million) for medium |

Note: India (INR): Indian rupee, Bangladesh (BDT): Bangladeshi taka, Malaysia (MYR): Malaysian ringgit, Indonesia (IDR): Indonesian rupiah

Revised MSME definition in India: Raised limits, combined sectors, turnover criteria to adapt to changing economic landscape for ease of doing business.<sup>8</sup>

**Exchange rate used as of FY22:** USD to Indian Rupee (USD to INR): 1 USD ≈ 74.63 INR, USD to Bangladeshi Taka (USD to BDT): 1 USD ≈ 84.74 BDT, USD to Malaysian Ringgit (USD to MYR): 1 USD ≈ 4.17 MYR, USD to Indonesian Rupiah (USD to IDR): 1 USD ≈ 14,285 IDR

### MSME impact in Asia: Number of units and employment

India and Indonesia have a vibrant MSME scenario in terms of number of units and their contribution to workforce. Other Asian peers such as Malaysia and Thailand report relatively lower number of MSME units.

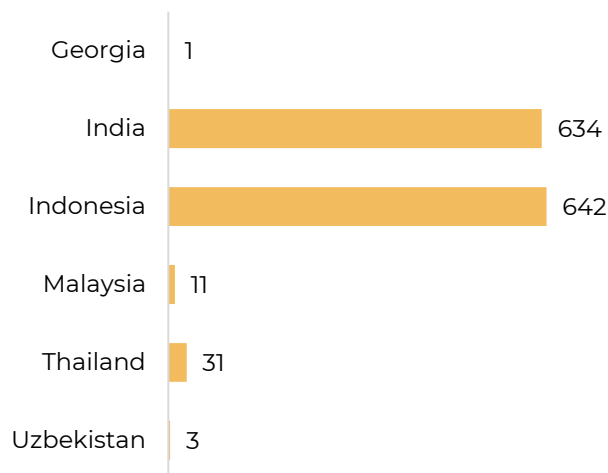
<sup>5</sup> Asian Development Bank, 2019, Sector Assessment (Summary)

<sup>6</sup> SME Corp. Malaysia, 2013, SME Definitions

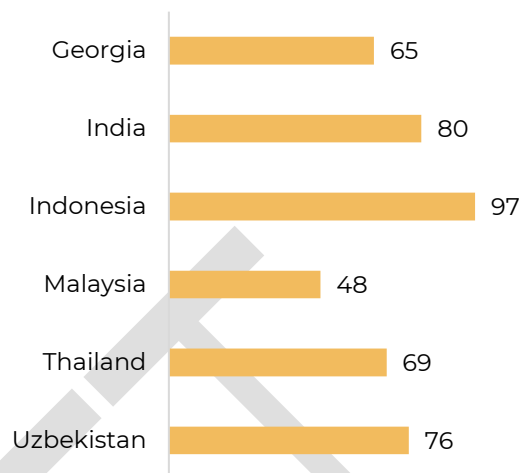
<sup>7</sup> International Labour Organization, 2017, Indonesia SME Strategy

<sup>8</sup> Ministry of MSME, 2020, What is the definition of MSME.

**Figure 3: Number of MSMEs (lakh)**



**Figure 4: MSME employees to total workforce (%)**



Source: Asian Development Bank, 2022

Note: As per SIDBI MSME Pulse Aug 2023, estimated number of MSMEs by FY23 in India is 750 lakhs<sup>9</sup>

Note: Denominator excludes Agriculture employment in total workforce.

### MSMEs play a pivotal role in Indian<sup>10</sup> economy

Over the past decade, the number of MSMEs in India has nearly doubled, signalling their pivotal role in the economy. According to the Asian Development Bank<sup>11</sup>, the count grew from 3.6 crore in 2008 to 6.3 crore in 2018. This substantial growth underscores their increasing importance and influence on various sectors and industries.



~6.34 crore enterprises



~30% to India's GDP



~48% to the country's exports



~45% of manufacturing output



~11.1 crore individuals employed

Source: Ministry of Finance, 2022

<sup>9</sup> Small Industries Development Bank of India, 2023, MSME Pulse

<sup>10</sup> Ministry of Finance, 2022, Standing Committee on Finance

<sup>11</sup> Asian Development Bank, 2022, SME Enterprises in Asia and The Pacific

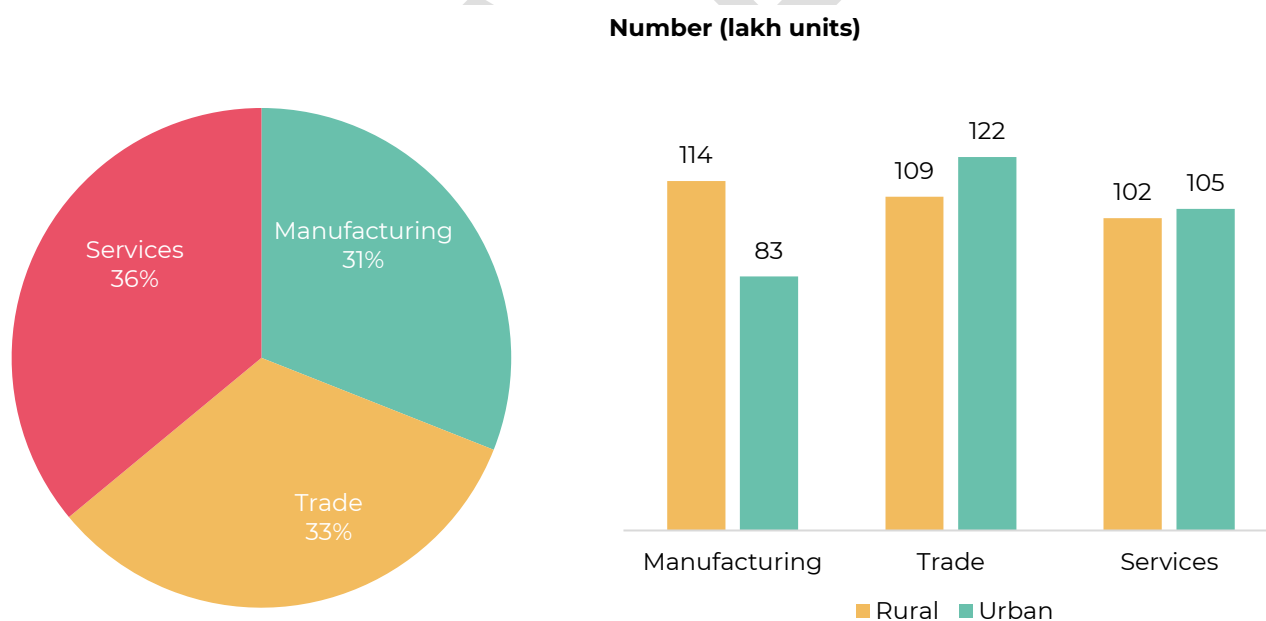
**Figure 5: Microenterprises lead the way: A closer look at number of MSMEs<sup>12</sup>**



Source: Ministry of MSME, 2023

Out of the estimated 634 lakh MSMEs in India, the **Udyam Portal** has registered approximately 381 lakh enterprises<sup>13</sup> as of Feb 2024. This indicates a significant percentage of MSMEs are yet to formalise their registration on the platform, highlighting the potential for further inclusion and empowerment within the sector.

**Figure 6: Balanced dispersion of MSME units across diverse sectors<sup>14</sup>**



Source: Ministry of MSME, 2023

<sup>12</sup> Ministry of MSME, 2023, Annual Report

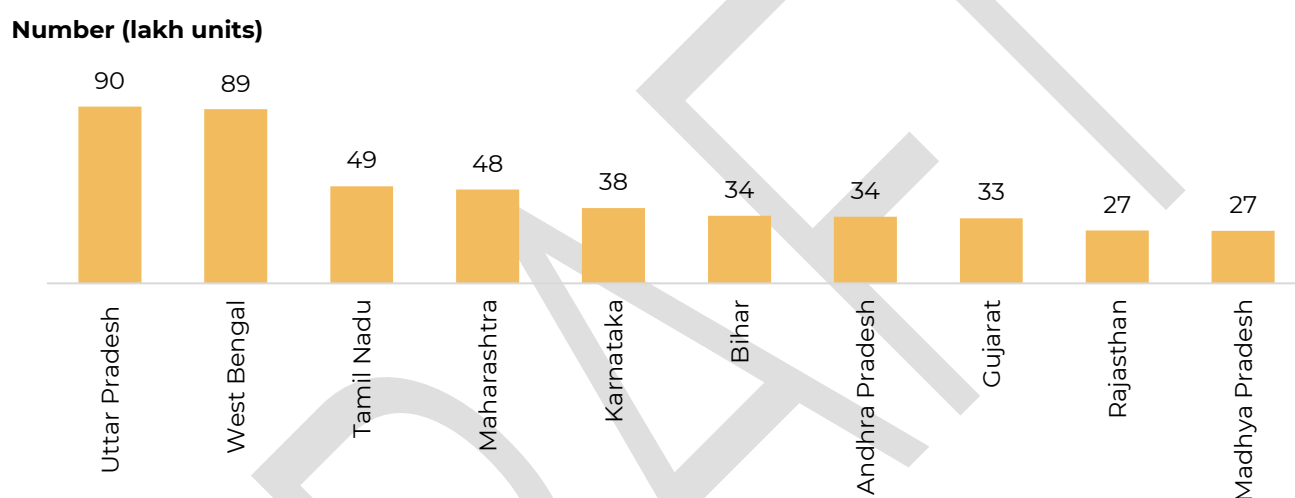
<sup>13</sup> Udyam Registration Portal, 2023, MSME / Udyam Registration

<sup>14</sup> Ministry of MSME, 2023, Annual Report

The MSME landscape in India is remarkably diverse across sectors. Manufacturing constitutes a substantial portion, accounting for about one-third of these enterprises. Notably, a significant number of manufacturing MSME units are located in rural areas, indicating the sector's contribution to rural economic development.

On the other hand, wholesale and retail trade, while more prominent in urban areas, also have a substantial presence in rural regions, emphasising their importance in both settings. The service sector's distribution between urban and rural areas is relatively balanced, reflecting the growing economic diversity and opportunities available in both urban and rural environments. This dispersion across sectors underscores the dynamic and multifaceted nature of the MSME sector in India.

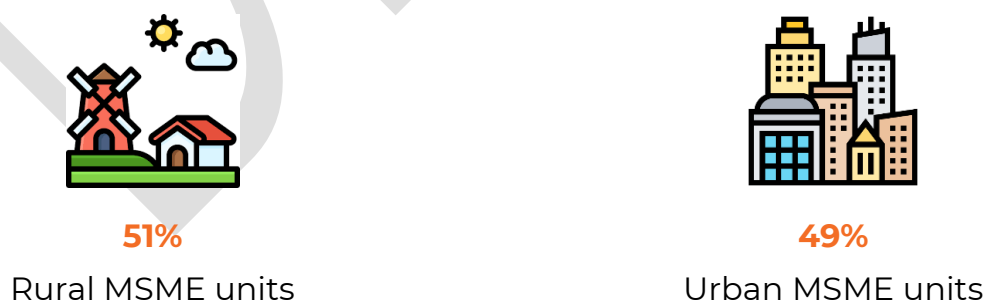
**Figure 7: MSME presence in India: Top 10 states house 74% of the total number of enterprises<sup>15</sup>**



Source: Ministry of MSME, 2023

The top 10 states house **74%** (469 lakh units) of the MSMEs, while other states and union territories, with 165 lakh units, make up the remaining **26%**.

**Figure 8: MSME landscape: Rural and urban enterprises in almost equal proportions<sup>16</sup>**

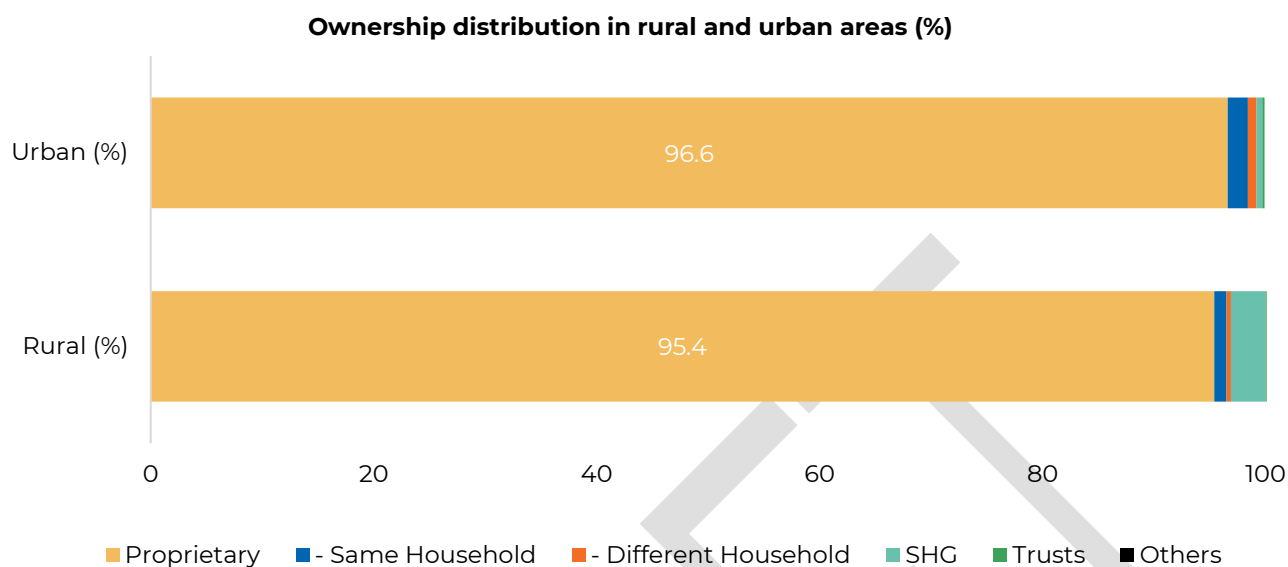


MSME distribution reveals nearly equal presence in rural and urban areas, highlighting their significance in both regions.

<sup>15</sup> Ministry of MSME, 2023, Annual Report

<sup>16</sup> Ministry of MSME, 2023, Annual Report

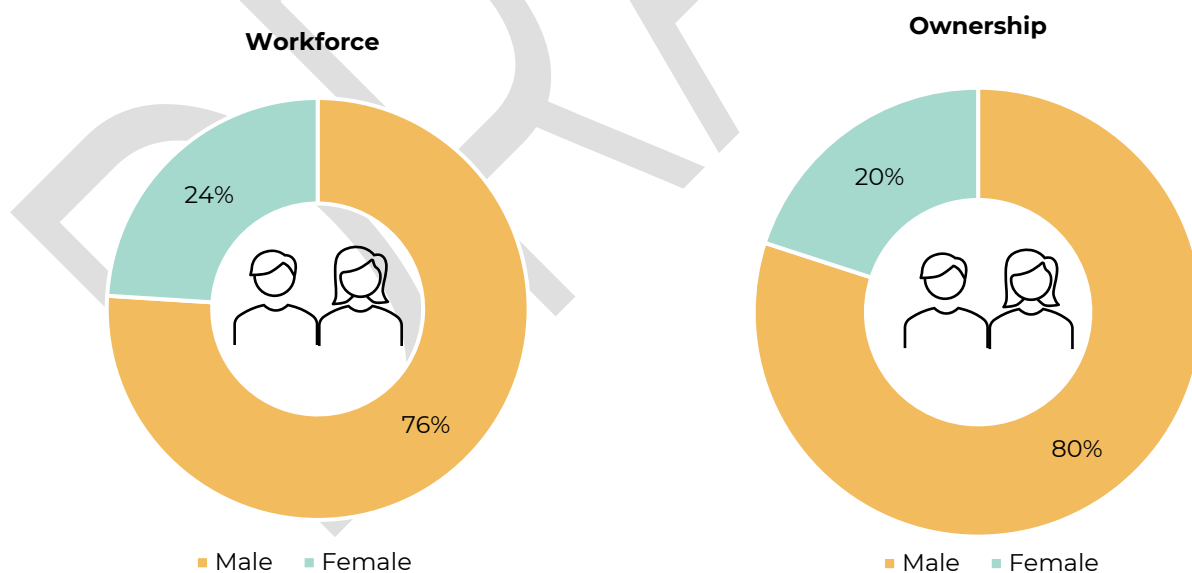
**Figure 9: Proprietary ownership leading across urban and rural landscape<sup>17</sup>**



Source: Ministry of Statistics and Programme Implementation, 2017

The data suggests ~96% of MSME ownership in both rural and urban areas is concentrated among individuals (proprietary).

**Figure 10: Gender dynamics in MSME employment: Male-dominated sector<sup>18</sup>**

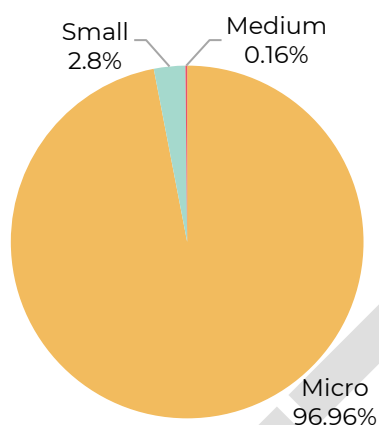


Source: Ministry of MSME, 2023

<sup>17</sup> Ministry of Statistics and Programme Implementation, 2017, NSS 73rd Round

<sup>18</sup> Ministry of MSME, 2023, Annual Report

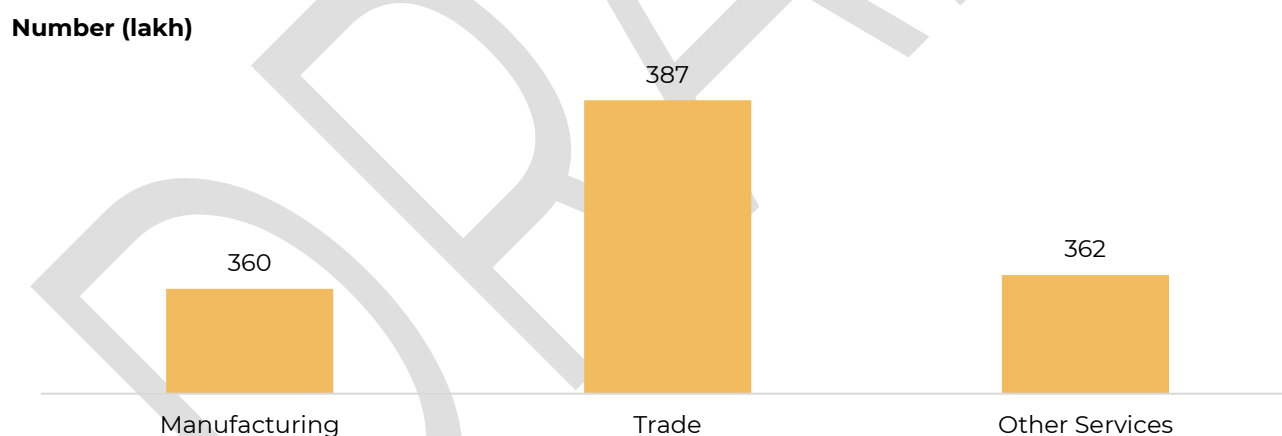
**Figure 11: Microenterprises: Powerhouse of MSME employment<sup>19</sup>**



Source: Ministry of MSME, 2023

Small and medium-sized enterprises, though constituting less than 1% of the MSME segment, provide employment to about 3% of the sector's workforce. A majority of this workforce (~97%) is either self-employed or works at micro enterprises structured as proprietorships or partnerships.

**Figure 12: Employment in the MSMEs: Sector by activity<sup>20</sup>**



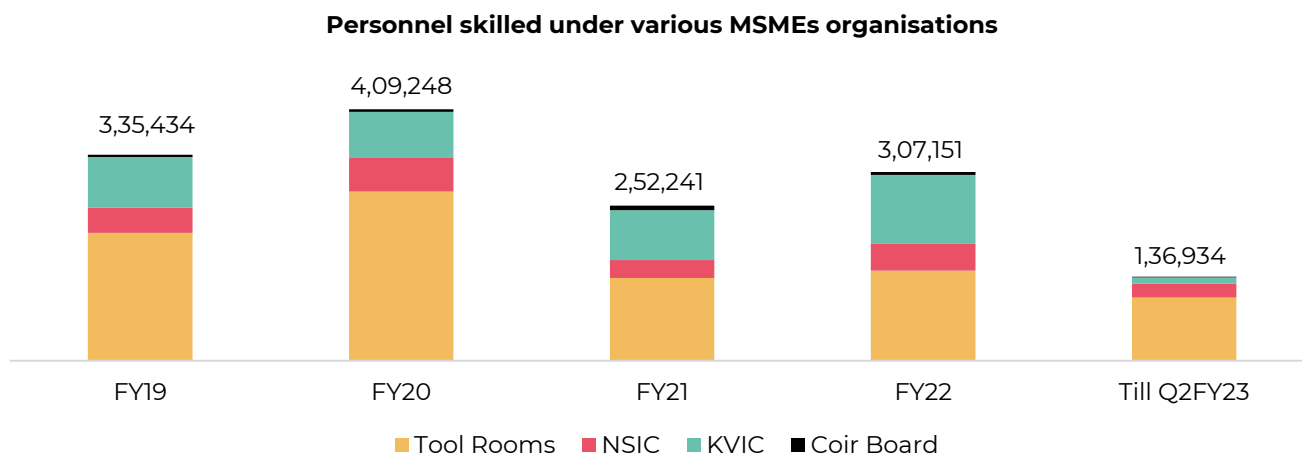
Source: Ministry of MSME, 2023

The employment pattern within Indian MSMEs underscores a well-rounded distribution, reflecting the sector's versatility in job creation. With significant contributions from manufacturing, trade and other services, it exemplifies the MSME sector's capacity to provide diverse employment opportunities.

<sup>19</sup> Ministry of MSME, 2023, Annual Report

<sup>20</sup> Ministry of MSME, 2023, Annual Report

**Figure 13: Tailored skill development initiatives for MSME growth<sup>21</sup>**



Source: Ministry of MSME, 2023

Various institutions provide customized skill development programs aligned with national frameworks, addressing workforce needs, and fostering entrepreneurship in India. These initiatives aim to boost workforce skills, facilitate employment, contributing to the evolving MSME landscape in the country.

<sup>21</sup> Ministry of MSME, 2023, Annual Report

# Challenges & Opportunities

## Major challenges



### Limited access to financial services

A significant hurdle for MSMEs is the reluctance of banks to extend loans. Many lack adequate collateral and proper documentation, and their financial records frequently fall short of meeting banking standards. As a result, the formal credit penetration rate stands at less than 20% of total MSME debt financing.<sup>22</sup> For women entrepreneurs, access to formal credit is even lower, estimated at just 10%.<sup>23</sup>

Access to formal finance is the biggest issue, evident by the importance given to this aspect in budget 2023-24<sup>24</sup>. About 2/3rd of MSME budget allocations is directed towards credit support schemes.



### Technological barriers

In India, the majority of MSMEs are microenterprises, with approximately 51% in rural areas. However, despite their significant presence, many face challenges related to technology adoption. They often lack awareness regarding the benefits of technology upgradation and struggle with limited technical expertise.

This issue was highlighted by the National Manufacturing Innovation Survey of fiscal 2022<sup>25</sup>, which found that only 25% of the surveyed MSMEs demonstrated innovation, indicating a need for greater technological awareness and capability.

According to an Organisation for Economic Cooperation and Development report<sup>26</sup>, of late there is a significant uptake of digital platforms, with more than 60% of the business population using social media in 2021. In the past six years, the adoption of cloud computing by SMEs has doubled, reaching a level similar to that of large firms.



### Lack of access to markets

Inadequate access to physical markets, including difficulties in reaching those nearby, is a formidable challenge for small business owners. These constraints not only impede sales opportunities within districts and states but also limit growth due to a preference for traditional methods over digital platforms. However, social commerce holds the key to surmounting these hurdles.

Confederation of India Industry<sup>27</sup> highlights logistics-related issues, presence of trade / non-trade barriers and limited information on potential markets as key challenges towards lack of access to markets

<sup>22</sup> International Finance Corporation, 2018, Financing India's MSMEs

<sup>23</sup> International Finance Corporation, 2022, Financial Inclusion for Woman-Owned MSMEs in India

<sup>24</sup> India Budget, 2023-24, Ministry of Micro, Small and Medium Enterprises

<sup>25</sup> National Manufacturing Innovation Survey, 2022, Innovation Survey

<sup>26</sup> Organisation for Economic Cooperation and Development, 2021, The Digital Transformation of SMEs

<sup>27</sup> Confederation of Indian Industry, 2019, Making Indian MSMEs Globally competitive

## Major challenges

|                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | <p><b>Standard cluster approach limits tailored resource allocation</b></p> <p>Uniform cluster development strategies overlook region- and sector-specific differences, leading to inefficient resource deployment. Tailored resource allocation enhances workforce agility and adds value to businesses, improving the effectiveness of cluster development initiatives.</p> <p>India can draw insights from Japan's Industrial Cluster Policy (2020)<sup>28</sup>, a three-term strategy emphasising network formation, specific business development and corporate management reforms for autonomous growth. Tailoring policies to cluster types allows precise development. This aligns with the unique needs of each cluster by providing incentives such as tax benefits, streamlined regulations and infrastructure support, attracting investments and promoting local manufacturing in specific sectors.</p>                       |
|  | <p><b>Capacity building: Shortage of skilled workforce</b></p> <p>MSMEs encounter various challenges in upskilling their workforce, such as outdated curricula, insufficient educational infrastructure, and low awareness of government skill development programs.</p> <p>The Young India and Work study<sup>29</sup> revealed that 70% of youth are unaware of local government initiatives. Enrolment in key institutes like ITIs and polytechnics remains below capacity at 47% in 2022<sup>30</sup>. A report released<sup>31</sup> by SIDBI on skill development in MSME clusters highlights that over 40% of the available labour in the Ludhiana knitwear cluster is migratory and unskilled.</p> <p>While government initiatives like Entrepreneurship-cum-Skill Development Programme (ESDP) exist, more steps like sector-based skilling and private sector incentives are needed for effective skill development in MSMEs.</p> |

<sup>28</sup> Minister of Economy, Trade and Industry Japan, 2020, Industrial Cluster Policy

<sup>29</sup> World Economic Forum. (2018). Young India and Work, A Survey of Youth Aspirations

<sup>30</sup> Ministry of Skill Development and Entrepreneurship. (2023). NCVTMIS Admitted Trainee Dashboard. Retrieved 3 October 2023

<sup>31</sup> Small Industries Development Bank of India, Study on skill development in the MSME sector

## Opportunities

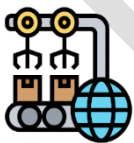
Despite several challenges, India's MSMEs have exhibited a remarkable capacity for adaptation and growth. Their resilience is underscored by their ability to navigate obstacles rooted in limited digital access and market constraints. By harnessing innovative strategies, including technology adoption, market diversification, and government support through policies and incentives, MSMEs can pave the path toward enhanced growth and heightened resilience. Moreover, exploring opportunities for international collaboration and trade can further bolster their prospects on the global stage.



### Empowering Indian MSMEs through Global Value Chains

Global Value Chains (GVCs) provide Indian MSMEs (Micro, Small, and Medium Enterprises) with a crucial opportunity for global growth. This involvement helps them develop technical skills, improve production efficiency, and engage in partnerships that boost their credibility. By operating cost-effectively, MSMEs contribute to the economies of scale within specific production chains. According to an Engineering Export Promotion Council of India (EEPC India) report<sup>32</sup>, the key factors influencing MSME participation in GVCs include skilled labour, productivity, financial stability, access to credit, and compliance with international standards. The integration of information technology further speeds up this process. Also, MSMEs in India can enhance global participation by aligning with Scope 3 emissions regulations, an essential global parameter.

A notable example is the contribution of MSMEs in the Indian electronics industry. MSMEs hold a substantial market share, accounting for nearly 30% of the sector. India's electronics exports have demonstrated robust growth with a CAGR of 22% over the last five fiscal years from FY18 to FY22<sup>33</sup>. Their active participation in Global Value Chains (GVCs) emphasizes their pivotal role in fostering the growth and development of the electronics sector.



### China +1 Strategy

India's MSMEs can benefit from the 'China +1' strategy by becoming alternative suppliers or subcontractors. With a growing consumer market, government support, and expertise in electronics, textiles, and pharmaceuticals, Indian MSMEs can enhance capabilities and align with global standards to seize opportunities in the diversifying supply chains.

A report by the MSME department<sup>34</sup>, Government of Tamil Nadu, 2022 depicts that on the back of the China +1 strategy, many MNCs are looking at India to locate their units. Thereby, MSMEs have an opportunity to forge strategic partnership with foreign companies, and get a foothold in the global value chain.

<sup>32</sup> Engineering Export Promotion Council of India, 2022, Integrating Indian MSMEs into Global Value Chains

<sup>33</sup> Ministry of Electronics and Information Technology, 2023, Annual Report

<sup>34</sup> Government of Tamil Nadu, 2022, Report of Expert Committee for revival of MSMEs in Tamil Nadu



### **Production-Linked Incentive (PLI) scheme enhancing MSME competitiveness and sub-contracting opportunities**

The PLI scheme, with an incentive outlay of Rs 1.97 lakh crore, attracts major players across sectors, benefiting MSMEs through a ripple effect. As larger companies expand, they generate demand for specialised services and components, creating subcontracting opportunities for MSMEs.

As per the Ministry of Commerce and Industry<sup>35</sup>, 176 MSMEs are among PLI beneficiaries in sectors such as drones, pharma, textiles, telecom, white goods, medical devices and food processing as of June 2023. Turnover has jumped seven times in the drone sector due to the PLI scheme which consists of all MSME Startups. These PLI beneficiaries have helped generate employment for around 325,000 people till March 2023.



### **Free trade agreements (FTAs)**

India's participation in FTAs offers MSMEs access to new markets, reduced trade barriers and increased export opportunities. Leveraging the relevant FTAs, Indian MSMEs, especially in sectors such as readymade garments, can streamline exports, overcome tariff barriers and gain a competitive edge in global markets, driving growth.

Indian pharmaceutical companies harnessed government interventions through existing FTAs, such as the like South Asian Free Trade Area (SAFTA), Japan-India Comprehensive Economic Partnership Agreement (CEPA) and Association of Southeast Asian Nations (ASEAN) Trade. This approach has allowed them to tailor therapeutic offerings for these markets, expanding their global footprint.

<sup>35</sup> Press Information Bureau, 2023, PLI Schemes

# Government interventions<sup>36</sup>

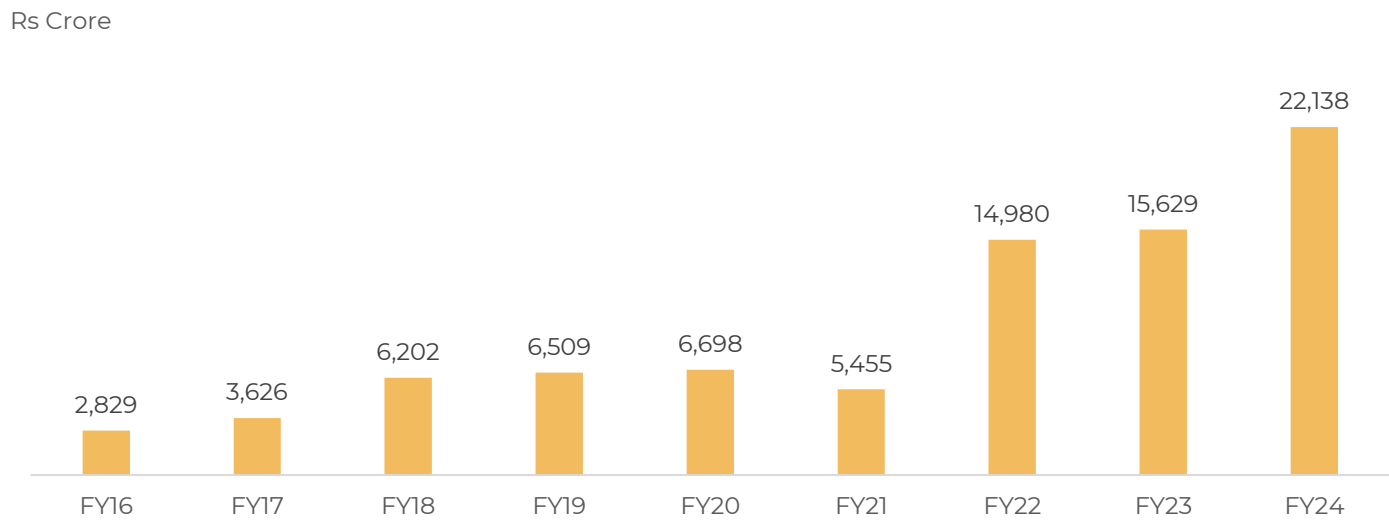
The government is actively addressing challenges faced by MSMEs access to credit, cluster development and technology adoption.

The government's MSME policy centres on achieving comprehensive growth by emphasising digitalisation, cluster development and introduction of formal credit channels. These strategic efforts are geared towards promoting economic prosperity and generating employment within the sector.<sup>37</sup>

Budgetary allocations for MSMEs increased at 29% compound annual growth rate over the past eight years (fiscal 2016 to fiscal 2024). This reflects the government's recognition of the crucial role MSMEs play in the economy, and their potential for driving employment and growth. By directing a significant portion of the funds (almost two-thirds) towards credit support schemes, the government has facilitated easier access to formal credit for MSMEs.

## Government push to the sector: Allocations to the Ministry of MSME grew 8x from fiscal 2016 to fiscal 2024<sup>38</sup>

Figure 14:



Source: India Budget, 2023-24

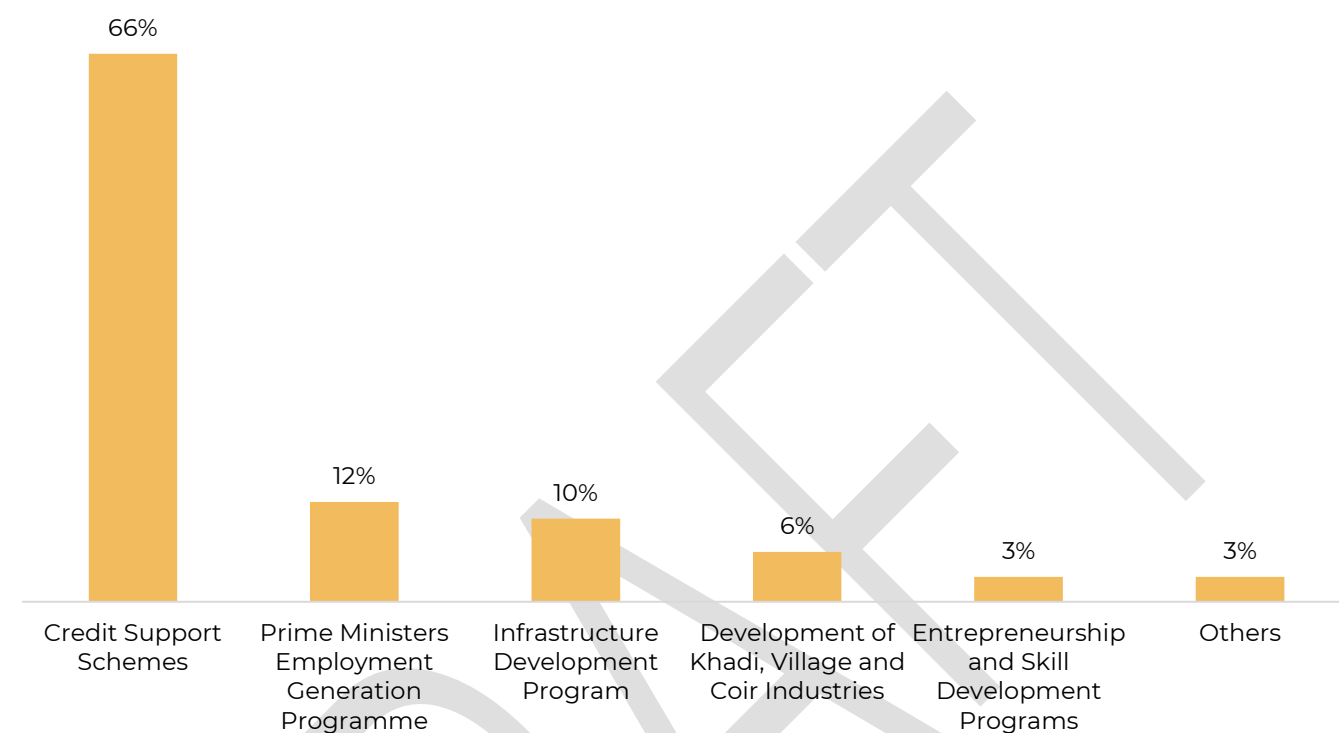
<sup>36</sup> India Budget, 2023-24, Ministry of Micro, Small and Medium Enterprises

<sup>37</sup> Ministry of MSME, Organisation Setup and Function

<sup>38</sup> India Budget, 2023-24, Ministry of Micro, Small and Medium Enterprises

**Almost two-thirds of MSME budget allocations directed to credit support schemes<sup>39</sup>**

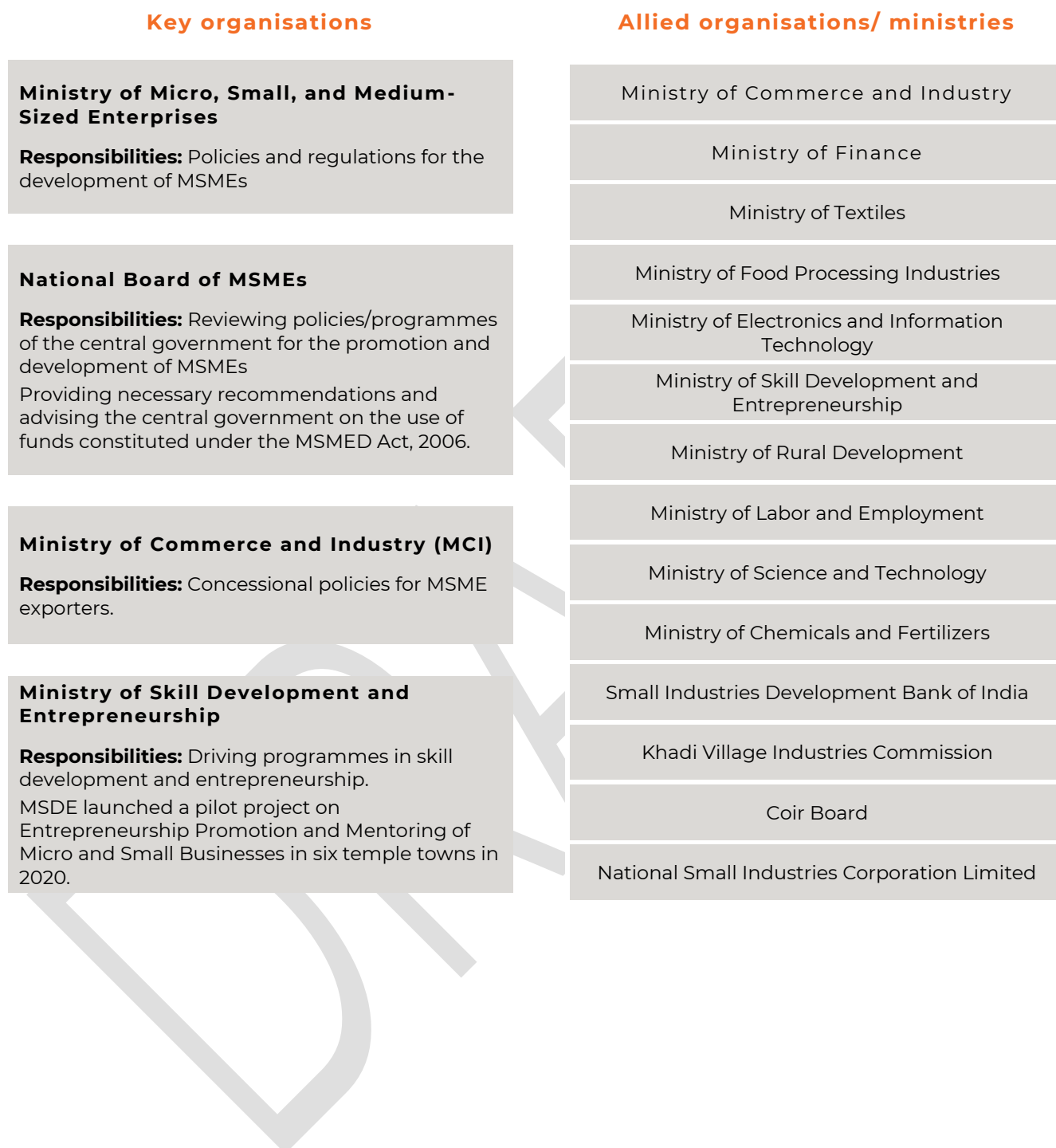
**Figure 15: Ministry of MSME FY24 budget allocation: Segment wise**



Note: Others Include  
Source: India Budget, 2023-24

<sup>39</sup> India Budget, 2023-24, Ministry of Micro, Small and Medium Enterprises

**Figure 16: Ecosystem of the Ministry of MSME<sup>40</sup>**



<sup>40</sup> Ministry of MSMEs, Organisation Setup and Function

## Major policies and schemes

|                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                              |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Credit Guarantee Fund Scheme for Micro and Small Enterprises, 2000</b></p> <p>The scheme enables collateral-free credit for MSMEs through banks, non-banking financial corporations and financial institutions in India.</p> <p>It offers credit limits up to Rs 200 lakh and provides guarantees covering a portion of the loan amount.</p> <p>As on December 31, 2022, 67 lakh proposals have been approved, totalling ~Rs 4 lakh crore.</p> | <p><b>Pradhan Mantri Mudra Yojana, 2015 (PMMY)</b></p> <p>The scheme offers financial support to MSMEs through loans disbursed by various financial institutions.</p> <p>In fiscal 2023, PMMY loans reached over Rs 4 lakh crore, comprising 15-20% of formal MSME credit.</p> <p>Loan outstanding under PMMY grew 44% in past 4 years.</p> | <p><b>Trade Receivables Discounting System (TReDS), 2014</b></p> <p>TReDS is an online platform linking MSMEs, corporates and financiers to discount trade receivables.</p> <p>Its primary goal is to aid MSMEs in addressing working capital challenges by selling unpaid invoices.</p> <p>In fiscal 2022, TReDS processed 17 lakh invoices valued at Rs 44,111 crore</p> | <p><b>Prime Minister Employment Generation Programme</b></p> <p>The programme merges two schemes to create employment opportunities in microenterprises for rural and urban areas.</p> <p>The government has allocated Rs 13,554 crore over five years (fiscals 2022-2026) to set up 4 lakh projects and create 30 lakh jobs.</p>            |
| <p><b>MSME Champions Scheme</b></p> <p>The scheme merges six components of the Technology Upgradation Scheme for five years (2022-2026).</p> <p>It aims to modernise processes, reduce wastage, enhance competitiveness and promote excellence in selected clusters.</p>                                                                                                                                                                             | <p><b>Marketing Assistance Scheme</b></p> <p>Via the Ministry of MSME and National Small Industries Corporation, the scheme helps MSMEs overcome resource constraints.</p> <p>Expands its focus beyond SSIs to include the entire spectrum, including service-related enterprises.</p>                                                      | <p><b>Procurement and Marketing Support Scheme</b></p> <p>The scheme empowers MSEs, incentivising domestic market development and new market access.</p> <p>Aligns with public procurement policy for MSEs and educates MSMEs on business development and awareness.</p>                                                                                                   | <p><b>Public Procurement Policy for Micro and Small Enterprises</b></p> <p>The policy supports MSEs by facilitating their marketing efforts and ensuring fair and transparent procurement practices.</p> <p>The policy mandates 25% procurement from Micro and Small Enterprises, with sub-targets for SC/ST and women-owned businesses.</p> |

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| <p><b>MSE-Cluster Development Programme</b></p> <p>The programme enhances MSE productivity via grants for CFCs and cluster development projects.</p> <p>Under this scheme, 557 projects at Rs 1,074 crore have been approved; 292 completed; and 265 are underway, with small/micro enterprise focus, As on December 31, 2022.</p> | <p><b>Scheme of Fund for Regeneration of Traditional Industries</b></p> <p>The scheme promotes collective manufacturing for artisans, boosting production and value-added product creation.</p> <p>513 projects have been approved at Rs 1,447 crore and grants worth Rs 1,336 crore have benefitted 298,580 artisans as of As on December 31, 2022.</p> | <p><b>Prime Minister Vishwakarma Scheme</b></p> <p>Launched on Sept 17, 2023, PM Vishwakarma uplifts artisans through holistic support, skill enhancement, credit access, and market linkages.</p> <p>Holistic approach preserves culture, empowers marginalized groups. Participatory implementation ensures coordination, awareness, and social security benefits for beneficiaries.</p> |
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# Way forward

The path forward for Indian MSMEs is marked by strategic shifts, including cash flow-based lending, specialised technology centres, collaborative models, digital finance and improved market access. These initiatives promise innovation, growth and enhanced global competitiveness for the sector.



## Cash flow-based lending

Shifting from collateral-based models, the emerging cash flow-based lending for MSMEs employs credit assessment of metrics such as net present value, cash flow, debt coverage ratio and credit history, reducing the barrier of collateral requirements by banks.

Major institutions such as the State Bank of India<sup>41</sup> have embraced cash flow-based lending for MSMEs, promoting this innovative credit assessment approach enhances accessibility, fostering financial inclusivity and innovation with widespread adoption by banks.



## Establishment of industry-specific technology centres

Product-focused technology centres will offer MSMEs training, consultancy and shared facilities for knowledge and technology access, fuelling innovation and growth. Empowering businesses, these centres will drive modernisation, competitiveness amid industry evolution.

As part of the forward-looking Technology Centre Systems Programme (TCSP), 15 new centres are underway, expanding the network to 33 TCs. To enhance accessibility, the Cabinet Committee on Economic Affairs (CCEA) approved the "Establishment of New Technology Centres/Extension Centres" scheme, paving the way for 20 new TCs and 100 Extension Centres. This strategic initiative aims to amplify the impact and reach of technology support for industrial development.<sup>42</sup>



## Technology upgradation and collaboration

Enhancing technology and collaboration entails unifying government departments such as the Ministry of MSME, NITI Aayog, Department of Science & Technology and states. A collaborative incubation group will amplify innovation, funding and MSME empowerment for economic and technology advancement.

Collaboration of government bodies like the Ministry of MSME, NITI Aayog and the Department of Science & Technology led to initiatives such as the Technology Business Incubator (TBI) programme.

TBIs across India, for example, IIT Bombay's SINE<sup>43</sup>, support technology upgradation and innovation among MSMEs through funding, mentorship and infrastructure, fostering economic and technological growth.

<sup>41</sup> Asset Backed Loan, State Bank of India

<sup>42</sup> Press Information Bureau, 2023, Technology Centres in the Country

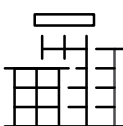
<sup>43</sup> IIT Bombay's SINE



### Account Aggregator and OCEN Models: Empowering MSME finance

The Account Aggregator (AA) model offers a secure framework for aggregating and sharing financial data among institutions. By utilising the AA model, MSMEs can enjoy better access to credit through more precise risk evaluation, tailored financial solutions and data-driven insights.

The Open Credit Enablement Network (OCEN) integrates with digital lending platforms, revolutionising MSME funding. OCEN's innovative approach bridges lender-business gaps, fostering financial inclusion for robust economic development.



### Theme-based models for cluster formations

Developing dedicated special economic zones (SEZs) tailored to the needs of the electronic manufacturing sector can help create a conducive environment for rapid industry growth and relocation. The SEZs can provide incentives such as tax benefits, streamlined regulations, and infrastructure support to attract foreign direct investment and promote local manufacturing.

For example, India established the Electronics Manufacturing Clusters (EMCs) scheme, offering SEZs zones for electronic manufacturing. These zones provide tax incentives, infrastructure support and regulatory simplifications, attracting investment and boosting local electronics production.

The 2022 'Cluster Mapping in Japan' report by the EU-Japan Centre<sup>44</sup> aimed to identify and assess new and existing clusters. This process helped SME clusters by providing insights into their development, strengths, and opportunities for collaboration, fostering growth and competitiveness.



### Enhancing market access for MSMEs<sup>45</sup>

Integrated digital solutions, such as e-commerce with simplified online processes and improved physical trade procedures, can enhance market access for MSMEs in India, fostering growth and sustainability.

According to the MSMEs Go Digital survey, online sales for MSMEs surged to 27% of sales in fiscal 2021, compared with 19% in fiscal 2020 and only 12% in fiscal 2019. The upward trajectory of MSMEs' online sales underscores a promising trend, urging a continued digital transition for future resilience.

In Germany's Mittelstand, diverse SMEs, constituting 99% of businesses, dominate the economy. Despite hurdles, strategic planning, government support and initiatives such as language training propel global growth. Now, 44% of German companies export, showcasing SMEs' adaptability as a national economic backbone.<sup>46</sup>

Open Network for Digital Commerce (ONDC)<sup>47</sup>, a government-led initiative, empowers India's e-commerce ecosystem with a decentralised approach. It is a community-driven network promoting inclusivity, supporting local businesses and empowering MSMEs. ONDC benefits Fintech by providing credit and financing solutions to firms engaged in e-commerce, fostering a more accessible landscape.

<sup>44</sup> EU-Japan Centre for Industrial Cooperation, 2022, Cluster Mapping in Japan 2022

<sup>45</sup> Organisation for Economic Co-operation and Development, 2017, Enhancing the Contributions of SMEs

<sup>46</sup> Federal Ministry for Economic Affairs and Climate Action, 2019, The German Mittelstand as a model for success

<sup>47</sup> Open Network for Digital Commerce, 2023, About Us

# Recommended Readings

1. Asian Development Bank. (2017). *Small And Medium-Sized Enterprises in Asia And The Pacific: Context And Issues*. <https://www.adb.org/sites/default/files/linked-documents/A-SME-Context-and-Issues.pdf>
2. Standing Committee on Finance & Ministry of Finance. (2022). *Strengthening Credit Flows To The MSME Sector*. [https://loksabhadocs.nic.in/lsscommittee/Finance/17\\_Finance\\_46.pdf](https://loksabhadocs.nic.in/lsscommittee/Finance/17_Finance_46.pdf)
3. MSME Annual Report. (2023). *Ministry of MSME*. <https://msme.gov.in/sites/default/files/MSMEANNUALREPORT2022-23ENGLISH.pdf>
4. International Finance Corporation. (July 31, 2023). *Financial Inclusion for Women-Owned MSMEs*. <https://www.ifc.org/content/dam/ifc/doc/mgrt/financial-inclusion-for-women-owned-msmesjuly-31.pdf>



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